

CIGI_PITCH_DECK_20260825

PITCH — CIGI — VERDICT

PROPOSED — PENDING ADJUDICATION — a 0.25% starter placed as a resting limit at \$99.00 (not at the \$105.55 tape), second rung 0.25% at \$91.00, no at-market fill, with a mandatory re-hearing if the stock never comes to us.

What we believe

Colliers is a global commercial-real-estate services and engineering firm. The stock is \$105.55, down 38% from its 52-week high of \$171.34, though it has already bounced 19% off its \$88.38 low. It trades at roughly 14.2–14.5x our own build of this year's adjusted earnings.

Our belief, stated narrowly, is this: **the market de-rated Colliers as if commercial real estate transaction activity were dead, and the company's own filings say it is not.** In the June quarter, the Commercial Real Estate segment — which contains the leasing and capital-markets brokerage businesses that would show the damage first — printed \$997.3M of revenue against \$893.2M a year ago, up 11.7%. Company-wide “internal growth” (growth excluding acquisitions) was disclosed at 8% in local currency. Those are not the numbers of a broken transaction market.

We also believe the ugliest number in the quarter is largely an accounting artifact. Reported operating earnings were \$98.4M against \$99.2M last year — *down* 0.7% on revenue *up* 16.7%. That looks like a business losing all its operating leverage. But Colliers closed its \$690.0M acquisition of Ayesa, a 3,300-person Spanish engineering firm, **late in the second quarter**. The quarter therefore absorbed essentially all of the deal's transaction costs and a stub of new amortization while booking almost none of Ayesa's revenue. Of the \$22.2M year-over-year increase in operating expenses, \$19.1M is amortization plus acquisition-related items. The margin “collapse” mechanically reverses next quarter when the acquired revenue actually shows up.

Our fair value, using 16–18x our estimate of \$7.30 of adjusted earnings per share, is **\$117–131, midpoint about \$124** — roughly 18% above the current price. Street targets average \$139.78; we are deliberately below them.

Source for every figure above: the company's 6-K filed 2026-08-05, exhibit 99.1 — https://www.sec.gov/Archives/edgar/data/913353/000117184326005248/exh_991.htm — and the Q2 earnings release, 6-K exhibit 99.2 filed 2026-07-30 — https://www.sec.gov/Archives/edgar/data/0000913353/000117184326005053/exh_992.htm

What the market believes

The market is pricing three things, and it is not obviously wrong about any of them.

One: earnings quality is deteriorating, permanently. Colliers markets itself on “adjusted” earnings that exclude amortization of acquired intangibles and acquisition costs. The gap between reported earnings and adjusted earnings is not shrinking — it is being manufactured. Ayesa alone added \$440.8M of goodwill and roughly \$247M of new intangible assets that will amortize through 2027 and beyond. A buyer who does not accept the add-backs sees a company whose reported earnings went nowhere. Reported net earnings attributable to the company were \$28.5M in the quarter on \$1.57B of revenue.

Two: the balance sheet got heavier fast. Total debt went from \$1.63B at year-end to \$2.51B at June 30 — \$872M added in six months. Interest expense was \$26.4M in the quarter versus \$15.5M a year ago, up 70%, and that was on a *partial-quarter* balance. Net leverage is about 2.8x against the company’s own stated long-term target of 1.5–2.0x. A shelf registration (Form F-10) was filed 2026-03-27 and went effective 2026-04-02, so the company has live capacity to issue equity.

Three: the second half has to do a lot of work. Management’s full-year guidance implies second-half adjusted earnings of roughly \$4.77–4.83 per share against \$4.00 in the prior-year second half — up 19–21% — at the same time management guided third-quarter leasing to mid-single-digit growth and capital markets to about 15%, down from 23%.

Put simply: the market thinks it is watching a roll-up buy revenue with debt to paper over a soft cycle. That is a coherent and respectable view.

Why we might have edge

The segment attribution. The single most common bear argument — “their growth is bought, not earned” — is true in aggregate and false where it matters. Colliers spent \$770.1M on acquisitions in the first half versus \$59.7M a year earlier, a 13x step-up. But \$690.0M of that \$770.1M is Ayesa, and Ayesa is an **engineering** business, booked to the Engineering segment. The commercial-real-estate brokerage numbers that carry the thesis are in a different segment and are essentially untouched by it. Someone reading only the cash flow statement will impeach the wrong number. Our own bear bench did exactly that (see below), which is decent evidence the mistake is easy to make.

The disclosed organic figure. The company states internal growth of 8% in local currency in the release. Both of our benches initially argued around it rather than from it — the bear side asserted the organic split was “never stated,” in a document it had itself cited. If our own analysts overlooked a printed number, sell-side notes summarizing “Adjusted EBITDA +14%” plausibly did too.

The timing artifact. A large deal closing in the last weeks of a quarter always produces one quarter of fake margin collapse. Screens and quant systems that read a reported operating-margin series will register real damage where none exists. That is a structural, repeatable source of mispricing, not a one-off.

Why it might be priced in

Honestly: quite a lot of it probably is, and this is the weakest part of the case.

- **We are only ~18% below our own fair value midpoint, and we are the optimists relative to nothing.** The bear bench built full-year earnings of \$7.06–7.14; correcting for the Ayesa contribution it excluded gives \$7.26–7.44. Street is \$7.51–7.57. So our *entire* disagreement with the Street is 2–4% on the earnings number — inside normal estimate noise. This is not a case where we see something they don't; it is a case where we think a de-rating overshoot by a modest amount.
- **The stock has already bounced 19% off the low.** Whatever fresh dislocation existed is partly harvested. We are not early.
- **The earnings-quality complaint is not refuted, only contextualized.** We argue this quarter's margin drop is an artifact. We do *not* argue that the growing gap between reported and adjusted earnings is an artifact — it is real and widening, and a multiple that permanently reflects that is a legitimate market judgment, not an error.
- **Nobody has demonstrated the multiple should re-expand.** 16–18x is our assumption, not a finding. The stock was 26x. If the correct number is 13–14x for a debt-funded serial acquirer, the stock is already fair and there is nothing here.

What could go wrong

Failure narrative 1 — The de-rating was correct and continues (most likely). We are calling a multiple compression a mistake when it is the market correctly repricing a business that must keep buying revenue to grow. Each acquisition manufactures new amortization faster than old amortization runs off, so the “adjusted” earnings we are paying 14x for drift further from cash reality every year. Reported net earnings attributable to shareholders were \$28.5M in the quarter; on that number the stock is not cheap at any multiple. Stock-based compensation, also added back, grew 21% year over year (\$55.6M in FY25 vs \$46.0M in FY24). *Tripwire: the reported-to-adjusted gap widening again in Q3 and Q4; each new deal announcement above ~\$200M.* This one is monitorable.

Failure narrative 2 — The balance sheet forces the equity (severe, moderate probability). Net leverage is 2.8x against a 1.5–2.0x target, the shelf is effective, and there is a separate \$1.09B claim (below) that can be settled in shares. If the second half disappoints and leverage does not come down, the natural fix is an equity raise into a depressed price — the worst possible sequence for us. *Tripwire: any prospectus supplement or drawdown under the F-10; leverage above 2.8x at the Q3 print; a further large acquisition announced without asset sales.* Monitorable.

Failure narrative 3 — Producer attrition at a people business (NO MONITORABLE TRIPWIRE). Colliers has no factories and no owned buildings. Its earning assets are brokers, and brokers leave, taking client relationships with them. A roll-up that has just absorbed 3,300 engineers in Spain while integrating dozens of smaller tuck-ins is exactly where cultural and compensation friction shows up. There is no filing, no tape signal, and no third-party dataset that tells us a team walked out until it appears in a revenue line two or three quarters later — by which time the stock has already moved. **Unknown-unknown class: unobservable human-capital flight at a services roll-up.** We have no sensor for this and cannot build one. It is a live, uninsured exposure and we are accepting it

knowingly. The related class — private-market counterparty and valuation risk inside the Investment Management segment, where marks are self-reported and lag — belongs in the same bucket.

The reflexive and structural leg. - *Our size.* At 0.25% of book in a \$5.4B-market-cap, dual-listed (Toronto and Nasdaq) name, our order is almost certainly a rounding error against daily volume. But we did not measure it: **average daily volume was not pulled this session**, so “we are small enough not to matter” is an assumption, not a verified fact. It should be verified before the order goes in. - *Our own predicted flow.* Our first rung sits at \$99.00 and the second at \$91.00 — both below the market. We are not bidding into a decline we ourselves are predicting; we are waiting for one someone else causes. That is the right structure. - *A doctrine interaction we should name plainly.* Our house rule says a clean court — one where the bear case produces no fatal objection — defaults to at least a small starter rather than doing nothing. In this case the bear bench raised five objections and the bull bench dismantled or downgraded all of them. So the starter here is generated by **the absence of a surviving kill**, not by the presence of a proven positive thesis. That is a real and uncomfortable asymmetry: “we couldn’t find a reason not to” is a weaker foundation than “we found a reason to,” and the rule mechanically converts one into the other. The adjudicator should treat this as the central question, not a footnote. - *A second doctrine interaction.* Our rule that a resting order into an earnings print is an accidental bet on calm markets applies here. The \$99.00 and \$91.00 rungs must be pulled before the Q3 print (approximately 2026-10-28 to 2026-11-03) and re-placed after it, or they become an unintended bet that the print is quiet. - *The de-facto-flat risk.* A ladder that never fills is indistinguishable from having done nothing, while still consuming attention. That is addressed in the entry section below with a forced re-hearing.

If this position loses money, the most likely reason will be that we treated a widening gap between reported and adjusted earnings as an accounting artifact of one late-closing deal, when it was actually the permanent operating condition of a debt-funded roll-up — and the market was re-rating earnings quality, not the real-estate cycle, the whole time.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Revenue grew 16.7% but operating earnings fell 0.7%	Read the income statement in the 6-K directly	\$1,572,499k vs \$1,347,649k revenue; \$98,442k vs \$99,183k operating earnings. Operating margin 6.26% vs 7.36%	Yes — arithmetic is exact
That margin drop shows real operating damage	Cross-read the business-combination note against the expense lines	Ayesa closed “late in the second quarter”; \$19.1M of the \$22.2M expense increase is amortization plus acquisition-related items. Cause is deal timing, not core margin	No — refuted as evidence of damage

Claim	How checked	Found	Confirmed?
The growth is bought, not earned — \$770.1M of acquisitions contaminates the brokerage numbers	Traced the acquisition spend to the segment it was booked in	\$690.0M of the \$770.1M is Ayesa, which sits in Engineering . Commercial Real Estate printed \$997.3M vs \$893.2M, +11.7%	Refuted — and this was OUR OWN bear bench's error. It impeached a real-estate metric using engineering-segment M&A
The company never discloses organic growth	Re-read the earnings release the bear bench itself cited	Internal growth of 8% in local currency is stated in that release	Refuted — our bear bench asserted a disclosure was missing from a document it had cited. A second bench error
Second-half earnings will miss because of interest and slowing transactions	Rebuilt the estimate both ways	The bear build of \$7.06–7.14 used the Ayesa acquisition to discredit growth quality, then excluded Ayesa's revenue from the second half . Correcting that gives \$7.26–7.44 vs Street \$7.51–7.57	Partly — a real 2–4% risk, but the bear bench's version double-counted in its own favor. Third bench error
There is a \$1.09B claim on the equity that sits outside both the debt figure and the share count	Read the equity note	Redeemable non-controlling interest carried at \$1,311,530k; stated redemption amount \$1,093,719k; “approximately 11,500,000 subordinate voting shares would be issued” against 51,158k diluted shares (+22.5%). Implied settlement price \$95.11/share	Yes. But adjusted earnings per share <i>already</i> deducts the non-controlling interest's earnings, so this breaks enterprise-value-based valuations, not the price-to-earnings route we are using. Our bear bench correctly caught its own overreach here and downgraded it
Cash generation is not keeping up with earnings	Read the cash flow statement	Operating cash flow was –\$47.8M in the first half vs –\$39.9M a year earlier. The negative sign is seasonal (accrued compensation fell \$756.5M → \$609.8M on Q1 bonus payments); the \$7.9M year-over-year deterioration came on +\$397M of revenue	Immaterial — improved as a ratio; also absorbed Ayesa's deal costs
Debt and interest stepped up	Balance sheet and interest line	Total debt \$2,505,699k vs \$1,633,511k; interest \$26,417k vs \$15,515k. Implied rate ~5.7% on average balance; roughly +\$8–9M per quarter going forward	Yes — sustained by both benches
Client credit is deteriorating	Receivables and allowance	Receivables \$922.9M with allowance \$46.4M vs \$40.9M at year-end — allowance up 13.5% against receivables up 11.3%, roughly proportional	No problem found — clean
Equity issuance capacity is live	Filing inventory	Form F-10 shelf filed 2026-03-27, went effective 2026-04-02, alongside 2.8x leverage	Yes

Claim	How checked	Found	Confirmed?
Tangible book value supports the price	Equity note vs intangible assets	Company shareholders' equity \$1,543.6M against goodwill \$3,092.4M plus intangibles \$1,473.3M → tangible common equity is roughly negative \$3.0B	Yes — true, and normal for this business model, but it means book value offers no floor
The Q3 earnings date is 2026-11-03	Searched for a company announcement	The date is derived from a third-party data feed. No company press release announcing the date exists as of 2026-08-25. Colliers typically announces ~2 weeks ahead; Q2 was announced 2026-07-30	No — unconfirmed
Current price is \$105.55	Attempted an independent broker quote	Broker market-data permission was denied to both benches. We are using the price captured when the evidence pack was built (2026-08-26)	No independent verification
Trading liquidity supports our size	—	Not attempted. Average daily volume was never pulled	No — open gap
Add-back recomputation of the margin bridge	Both benches recomputed independently	Bear got +11.7%, bull got +12.1%. Neither reconciled the difference	Unreconciled — small, but it means one of our two benches has an arithmetic error we did not find

Additional note on our own machinery: our automated detector library dispatched fourteen-plus checks at this name, and almost all were irrelevant (consumer-app review velocity, cosmetics virality, Texas modular-housing licensing, municipal building permits). Two fired usefully — the shelf-registration overhang check, and an anti-fraud accounting check that returned a **clean** result (the Ayesa purchase is an arm's-length third-party deal with full acquisition accounting disclosed, not a related-party absorption). We have **no** detector that separates organic from acquired revenue at a serial acquirer, and no detector that checks whether an acquisition was booked to the segment a bear argument attributes it to. Both were proposed as new tools during this court. The second one would have caught our own bear bench's central mistake.

PROPOSED ENTRY BANDS

Everything below comes from the benches' own arithmetic.

Fair value: 16–18x our estimate of \$7.30 in adjusted earnings per share = **\$117–131, midpoint \$124.** Current price \$105.55 = 14.2–14.5x. Upside to midpoint ≈ 18%.

No purchase at the current price. The stock has already recovered 19% from \$88.38, our disagreement with the Street is only 2–4% on earnings, and the bull case rests on the absence of a surviving objection rather than on a demonstrated positive. Buying at \$105.55 would be chasing.

Rung	Price	Size	Rationale
T1 (starter)	Resting limit \$99.00 (band \$97–99)	0.25% of book	Roughly 13.4x our \$7.35 midpoint estimate — pays for the earnings-quality complaint in full. Bull bench's own first rung
T2 (add)	Resting limit \$91.00 (band \$89–91)	+0.25% of book (0.50% total)	Approaches the \$88.38 low and sits below the \$95.11 implied settlement price of the non-controlling-interest put — a structural reference point, not a floor
T3	Post-print only, no pre-set price	Re-court required	Do not commit to a third rung before we see the Q3 numbers
Trim zone	\$117–124	Stop adding; trim to half position at \$124	Bottom of and midpoint of our fair value range
Full exit reference	\$131	Exit remaining	Top of fair value range at 18x
Hard stop / re-hearing	Any close below \$88.38	Do not average down	A new 52-week low means the market is pricing something we did not model. Re-court, do not add

Important mechanical note on the bands. These are *touch* levels — prices the stock trades through intraday — not levels it is likely to settle at. A stock touches a given level roughly twice as often as it closes below it. Sizing and expectations should assume the fills, if they happen, are brief.

Order handling around the print. Both rungs must be cancelled before the Q3 earnings release and re-entered afterward. Leaving a resting bid into a print is an unintended bet that the print will not move the stock.

Forced re-hearing if nothing fills. If the stock has not traded to \$99.00 by **2026-11-06** (three days after the expected print), this case comes back for adjudication rather than sitting as a permanently unfilled order. At that hearing the question is binary: either buy an at-market starter on confirmed Q3 data, or close the file as FLAT.

Immediate re-court triggers (any one): 1. Full-year guidance cut at the Q3 print. 2. Any equity issuance under the F-10 shelf. 3. Commercial Real Estate internal growth below 8% in local currency. 4. Any new acquisition above roughly \$200M announced before leverage returns toward 2.0x.

Catalyst dates. - **Approx. 2026-10-20** — expected company press release announcing the Q3 reporting date. **Not yet issued.** This is itself the first checkable event. - **Approx. 2026-10-28 to**

2026-11-03 — Q3 2026 results. **UNCONFIRMED.** The 2026-11-03 date comes from a third-party feed, not the company. As of 2026-08-25 the print is roughly 45–48 trading days away — far outside any pre-print positioning window, so no earnings-driven trade is proposed and none is owed.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 88.38 (deck-provisional: 52-week low breach - mandatory re-hearing, do NOT average down)
- filing watch: 6-K until 2027-02-21 (deck-provisional: Q3 2026 results and FY guide - Canadian MJDS filer files 6-K, NOT 8-K; a gate armed on 8-K would never)
- dated pack CIGI|2026-10-20: CIGI: expected company PR naming the Q3 reporting date (Colliers issues ~2 weeks ahead; Q2 was announced 2026-07-30) (date confirmed=False)
- dated pack CIGI|2026-11-03: CIGI: Q3 2026 results - tests the core claim that the Q2 margin drop was a late-quarter-close artifact that reverses once Ayesa revenue arri
- dated pack CIGI|2026-11-06: CIGI: forced re-hearing if the \$99.00 rung has not filled - either buy at market on confirmed Q3 data or close the file FLAT (date confirmed

What remains unverified

1. **Commercial Real Estate segment internal growth.** The company discloses 8% internal growth *company-wide*. It does not break internal growth out by segment. Roughly \$80M of non-Ayesa tuck-in acquisitions is unallocated. So our central claim — that capital-markets growth is organic — is **inferred from segment attribution, not read off the page**. This is the load-bearing unverified item and the reason our own bull bench capped its conviction at 7 out of 10.
2. **A segment-level operating-earnings bridge.** We have argued the 110-basis-point margin decline is deal-timing plus mix. We have not seen a segment-level reconciliation of reported operating earnings proving it.
3. **Credit facility pricing.** We modelled second-half interest at roughly 5.7% implied from the quarter. The actual pricing grid on the facility was not pulled, so the +\$8–9M per quarter figure is an estimate.
4. **The Q3 earnings date.** No company confirmation exists.
5. **Current price.** No independent live quote; broker data access was denied.
6. **Average daily trading volume.** Never measured. Our claim to be small enough not to move the stock is untested.
7. **The margin add-back discrepancy.** Our two benches computed +11.7% and +12.1% for the same bridge. Unreconciled.
8. **Whether 16–18x is the right multiple.** This is an assumption we imposed, not a conclusion we derived. If a debt-funded serial acquirer deserves 13x, the stock is fully priced today and this entire case dissolves.

9. **Third-quarter confirmation of the artifact thesis.** The core prediction — that operating margin recovers mechanically once Ayesa’s revenue arrives — is testable exactly once, at the Q3 print, and has not been tested.

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ADDENDUM — 2026-08-26 (adjudication)

ADJUDICATED: MINIMUM STARTER 0.25%, NO CHASE (instr #101, 26 sh @ ≤98.00, cancel-by 10/22; T2 89–91 post-print only). Red’s REJECT died on two verification failures: it impeached CRE growth with €593M of Ayesa M&A that the business-combination note books to Engineering, and claimed organic growth was “never stated” when the release discloses “internal growth: 8%.” Desk rule from the redeemable NCI (\$1.09B, 11.5M shadow shares): value CIGI on the P/E route only. Surviving: amortization-manufacture (sizing ceiling), 2.8× leverage + live F-10 (overhang). FV \$117–131. Re-court triggers: guide cut, F-10 draw, CRE internal <8%. **Frozen call:** CIGI-Q3GUIDE — FY26 outlook reaffirmed at Q3, p=0.65, grades ~10/28.